



FLEXIBLE BENEFIT PLAN
with Beniversal® MasterCard®
PLAN HIGHLIGHTS*

(page 1 of 2)

A. General Plan Information

1. Employer name: The KL Group Inc. dba Johnstone Supply of Rochester.
2. Plan name: Johnstone Supply of Rochester Flexible Benefit Plan.
3. Plan type: The Plan is a welfare plan designed to provide benefits permitted under Section 125 of the Internal Revenue Code (IRC). The Plan name and Plan number should be used in any formal correspondence relating to the Plan.
4. Eligibility requirements: Must be an employee of The KL Group Inc. dba Johnstone Supply of Rochester who has completed 90 days of service and works 30 hours per week.
 - *If you or your spouse is reporting contributions to a Health Savings Account (HSA), you are not eligible for a Medical FSA.*
 - Shareholders who are employees who own more than 2% of the stock cannot participate.
 - An employee who is the spouse, child, parent or grandparent of a more than 2% owner cannot participate.
5. The effective date on which you can begin participating in the Plan: Once the eligibility requirements have been met.
6. Kinds of group insurance for which you can pay your share of premiums through the Plan: Medical, Dental and Vision Insurances.
7. The Plan Year begins on January 1 and ends on December 31.
8. Plan effective date: January 1, 2011.
9. Plan number: 510.
10. Employer ID number: 16-1391624.
11. Name, address and telephone number of the Plan Administrator:
The KL Group Inc. dba Johnstone Supply of Rochester
77 Halstead Street, Suite 3
Rochester, NY 14610
(585) 482-8000
12. Agent for service of process: The KL Group Inc. dba Johnstone Supply of Rochester.

B. Flexible Spending Accounts (FSAs)

1. Types of FSAs

Medical FSA

- (a) Maximum amount you can set aside per Plan Year for reimbursement of eligible medical expenses as defined by IRC Section 213(d) except for insurance premiums: \$2,750.
- (b) If expenses are eligible under both a Medical FSA and Health Reimbursement Account (HRA) sponsored by your employer, your HRA funds will be used first.
- (c) For active participants:
 - Eligible services must be provided:
 - after your effective date in the Plan and
 - during the Plan Year.
- (d) If you become ineligible (including termination of employment) during the Plan Year:
 - Eligible services must be provided:
 - after your effective date in the Plan,
 - during the Plan Year and
 - prior to the date on which you become ineligible.
 - The Beniversal Card may no longer be used to access Medical FSA funds. You may submit a claim for reimbursement of eligible expenses.

Dependent Care FSA

- (a) Maximum amount you can set aside per calendar year for reimbursement of eligible dependent care services, as defined by IRC Section 21(b), is limited to the smallest of the following amounts:
 - \$5,000 if single or if married and filing jointly; \$2,500 if married and filing separately.
 - The earned income of the participant.
 - The earned income of the participant's spouse.
- (b) For active participants:
 - Eligible services must be provided:
 - after your effective date in the Plan and
 - during the Plan Year.
- (c) If you become ineligible (including termination of employment) during the Plan Year:
 - Eligible services must be provided:
 - after your effective date in the Plan and
 - during the Plan Year in which you become ineligible.



FLEXIBLE BENEFIT PLAN

with Beniversal® MasterCard®

PLAN HIGHLIGHTS*

(page 2 of 2)

2. Claims for FSAs

Claim submission time frames

- (a) Claims must be received by Benefit Resource, Inc. before the end of the 90 day run-out after the Plan Year ends.
- (b) Claims denied during the run-out may be resubmitted, but must be received by Benefit Resource within 21 days after the run-out ends.
- (c) Eligible participants are allowed to rollover up to \$500 of unused Medical FSA funds to the next Plan Year after the end of the time frame in (b) is completed for the current Plan Year. The minimum amount that can rollover must be greater than \$10.
- (d) Any funds remaining in your Medical or Dependent Care FSA after this will be forfeited.

Claim reimbursements

- (a) Complete your claim following all instructions.
- (b) Claims received with proper documentation will be processed within 5 business days.
- (c) Claim reimbursements are processed daily.
- (d) There is a minimum reimbursement amount of \$15 (except during the run-out after the end of the Plan Year).
- (e) A claim should never be submitted for an expense that has been paid for with a Beniversal Card or reimbursed from any other source.

3. Beniversal Card for Medical FSA

- (a) The Beniversal Card allows you to access Medical FSA funds to pay for eligible medical services at qualified merchants.
- (b) The card may only be used to pay for eligible medical services after they have been provided. The IRS allows one exception: eligibility of orthodontia expenses can be based on either date of payment, date of service or payment due date on coupons/statements.
- (c) Payment of a current Plan Year medical service with the card must be completed before the Plan Year ends.
- (d) Once a new Plan Year begins, only Medical FSA funds associated with the new Plan Year will be available on the card.
- (e) You are advised to save all documentation related to medical expenses paid with your card, as IRS regulations require all transactions to be verified for eligibility.
- (f) If a card transaction cannot be automatically verified, you will be contacted to submit documentation for that transaction.
- (g) Medical expenses paid with the card should never be submitted for claim reimbursement.